

I find it easier to pick tops rather than bottom patterns. Perhaps this is because I spend so much time worrying about when to sell. Placing a trade is easy; getting out for a profit is the tough part. In my quest to sell at the appropriate time, I have often overlooked the buy side: bottom reversals. Head-and-shoulders bottoms are just such a pattern. They are quite easy to spot and can be profitable.

The Results Snapshot highlights statistics for this bullish reversal. The performance rank is good but not outstanding. The head-and-shoulders pattern has a low breakeven failure rate and a nice average rise. Volume trends downward between the two shoulders, and that's typical for many chart patterns. Throwbacks occur in two of every three patterns. Again, that's typical. In fact, I don't see anything unusual with the numbers. Grab your bag lunch and let's start the tour.

Tour

What does the chart pattern look like? [Figure 39.1](#) shows an example of a head-and-shoulders bottom. The stock peaks during February, where the chart begins. From that point, the stock moves downward and makes a lower low in late March before moving up. The turn forms the left shoulder. The stock declines again and reaches a new low during late April, creating the head. The right shoulder appears as the stock recovers and then continues moving down along the trendline (shown in the figure as the neckline). By mid-August 1995 (not shown), the stock is trading just below 60.